

HOW DOES REBALANCING WORK?

How exactly does rebalancing work? Let's say you have \$100,000 invested in the stock market and your current objectives involve keeping 70% of your portfolio in stocks and 30% in bonds. You've chosen this investment split because you are looking to achieve growth with your stocks and mitigate risk with your bonds. This equals a portfolio with \$70,000 in stocks and \$30,000 in bonds. Let's then say that over time, the value of your stock investments double and they are now valued at \$140,000, and your bonds are valued at \$40,000. Your portfolio is no longer balanced according to your objective, since your stock investments now make up 78% of your portfolio instead of 70%. If your objective remains the same, you'd need to rebalance your portfolio by selling some stocks (– \$14,000) and buying more bonds (+ \$14,000) to get you back to that 70/30 split. However, if your objectives have changed, and you instead are taking a more aggressive approach to your investing and want a larger percentage of stocks in your portfolio, then there's no action required on your part. This is a simple example of how you could approach rebalancing your portfolio.

WHEN TO REBALANCE YOUR PORTFOLIO

To elaborate even further, you may want to consider rebalancing your portfolio if any of the following happens:

Major gains or major losses significantly change your asset allocation. You'd need to determine how much money you want to have in one asset class, industry, or investment type as you invest. Based on this determination, if major gains or losses occur that change your asset allocation, then that could be a good time to rebalance your portfolio.

Your financial goals and objectives change. Perhaps you decide to move your retirement date up ten years earlier or move it out ten years later. You might decide you want to invest for your child's college education or do more socially conscious investing. Scenarios like this might require that you adjust your portfolio accordingly to accommodate these changes to your goals.